

PRODUCT COSTING BREAKDOWN (PER PIECE)																			
SIZE	RAWPP/PC	NEOPRENE	NEOPRENE CUTTING	GLUE	THREAD	LABOR COST	ECOBAG	ECOBAG SEWING COST	VELCRO	POLY BAG	PACK TAPE	DOUBLE TAPE	OVERHEAD COST	TOTAL UNIT PER PIECE	RETAIL PRICE	PROFIT GAIN	PROFIT GAIN PER DISTRIBUTOR		
																PER RETAIL	20%	25%	30%
#50	7.5	1.83	0.1	0.76	0.006	7.5	1.5	2	0.4	0.8	0.76	-	3.22	26.376	60	33.624	21.624	18.624	15.624
#45	6.5	1.41	0.1	0.72	0.006	7.5	0.14	2	0.4	0.64	0.76	-	3.22	23.396	60	36.604	24.604	21.604	18.604
#40	5.5	1.26	0.1	0.47	0.006	7.5	0.12	2	0.4	0.58	0.76	-	3.22	21.916	60	38.084	26.084	23.084	20.084
#35	4.5	1.59	0.1	0.4	0.006	7	0.08	2	0.18	0.51	0.76	-	3.22	20.346	50	29.654	19.654	17.154	14.654
#30	4	1.46	0.1	0.36	0.006	7	0.07	2	0.18	0.51	0.76	-	3.22	19.666	50	30.334	20.334	17.834	15.334
#25	3.7	1.048	0.1	0.3	0.006	7	0.07	2	0.18	0.51	0.76	-	3.22	18.894	50	31.106	21.106	18.606	15
#20	3		-		-	5		-	-	0.34	0.38	0.17	3.22	12.11	35	22.89	15.89	14.14	12.39
#15	3		-		-	5		-	-	0.34	0.38	0.17	3.22	12.11	35	22.89	15.89	14.14	12.39
#10	3		-		-	5		-	-	0.34	0.38	0.17	3.22	12.11	35	22.89	15.89	14.14	12.39

	OVER ALL	PRICE	RAW PP		POLYBAG	CUT ECO BAG PER ROLL	CUT ID LACE PER ROLL	VELCRO PRICE	CUT PER ROLL	BOX	NEOPRENE CUTTING	DOUBLE TAPE
1	RAWPP		SIZES	PRICE	PRICE PER PACK							
2	NEOPRENE CLOTH	3,668.00	#50	7.5	400	22,000	130	125	310	35.25	0.1	-
3	GLUE	650	#45	6.5	320	24,000	165	125	310	28.5	0.1	-
4	THREAD	19	#40	5.5	290	26,000	145	125	310	24.25	0.1	-
5	LABOR COST	7.5	#35	4.5	255	41,000	170	128	700		0.1	-
6	ECOBAG	3,300	#30	4	255	45,000	170	128	700		0.1	-
7	ID LACE 3/4	100	#25	3.7	255	47,000	180	128	700		0.1	-
8	ID LACE 1/2	45	#20	3	170		600	-	-			100
9	ID LACE SEWING	1	#15	3			600	-	-			100
10	MAGIC TAPE 1 INCH	128	#10	3			600	-				100
11	MAGIC TAPE (3/4)	125										
12	POLY BAG											
13	PACKAGING TAPE	38										
14	DOUBLE TAPE	17										
15	ID LACE 1/4											
16	BOX											
17	OVERHEAD	CEO	30,000									
18		STAFF	39,600									
19		LOGISTICS	4,000									
20		RENT	15,000									
21		ELECTRICITY	1,000									
22		WATER	500									

NOTE: Computation of materials cost per piece .

NEOPRENE CLOTH

The price of neoprene cloth is 3,368 per roll. Each roll produces approximately 2,000 cut fabrics for one size.
Therefore: ₱3,668 ÷ 2,000 pcs = ₱1.83 per piece

GLUE (Adhesive)

The price of glue is ₱600 per gallon. One gallon can produce approximately 850 pieces for adult large size
Therefore: ₱600 ÷ 850 pcs = ₱0.71 per piece

SEWING THREAD

The price of one cone of thread is ₱19. One cone can be used to sew approximately 3,378 pieces of straps.

Therefore: ₱19 ÷ 3,378 pcs = ₱0.01 per piece

LABOR COST

The labor cost for manufacturing one splint is 7.50 pesos per piece for adult

ID Lace (3/4) for adult large

The price of the 3/4 ID Lace is ₱100 per roll. Each roll produces approximately 120 pieces.

Therefore: ₱100 ÷ 120 pcs = ₱0.83 per piece

ID Lace (1/2) for pedia large

The price of the 1/2 ID Lace is ₱45 per roll. Each roll produces approximately 165 pieces.

Therefore: ₱45 ÷ 165 pcs = ₱0.27 per piece

SEWING LABOR FOR STRAP

The sewing cost for attaching the strap is 1.00 per strap. Since one splint uses a pair of straps, the total sewing cost is

₱ 1.00 x 2 = ₱2.00 per piece

ECOBAG STRAP

The price of ecobag material is ₱3,300 per roll. Each roll is 100 meters long with a width of 63 inches. Based on the required strap size, approximately 24,000 pieces can be cut per roll

Therefore: ₱3,300 ÷ 24,000 pcs = ₱0.14 per piece

MAGIC TAPE (3/4)

The price of magic tape 3/4 per roll is 125 pesos per roll. Each roll can produce approximately 310 pieces based on the required cut length.

Therefore: ₱125 ÷ 310 pcs = ₱0.40 per piece

MAGIC TAPE (1 INCH) for pedia

The price of magic tape 1 inches per roll is 128 pesos per roll. Each roll can produce approximately 700 pieces based on the required cut length.

Therefore: ₱128 ÷ 700 pcs = ₱0.18 per piece

POLY BAG

The price of poly bags is ₱400 per pack. Each pack contains 500 pieces

Therefore: ₱400 ÷ 500 pcs = ₱0.80 per piece

PACKAGING TAPE

The price of packaging tape is ₱38 pesos per roll. One roll can seal approximately 50 boxes.

Therefore: ₱38 ÷ 50 pcs = ₱0.76 per piece

DOUBLE-SIDED TAPE

The price of the double sided tape is ₱17 per roll. Each roll can produce approximately 100 pieces based on the required cut length.

Therefore: ₱17 ÷ 100 pcs = ₱0.17 per piece

OVERHEAD COST

All our monthly expenses including staff salaries, rent, electricity, water, and logistics total ₱90,100. With a monthly production of 28,000 pieces, the overhead cost per piece is approximately 3.22, calculated the sameway as the cost per piece for all raw materials

Therefore: ₱90,100 ÷ 28,000 pcs = ₱3.22 per piece